

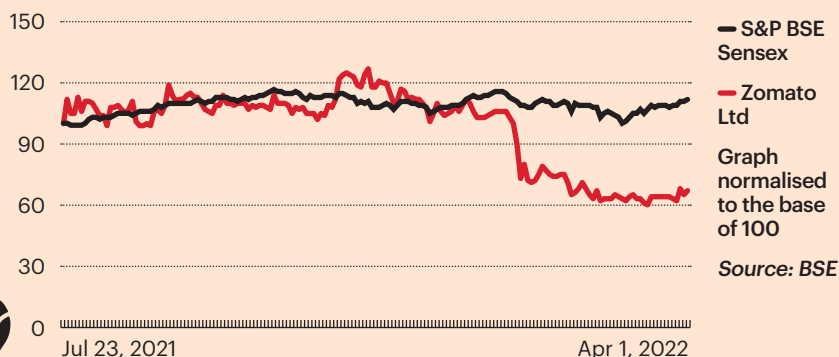
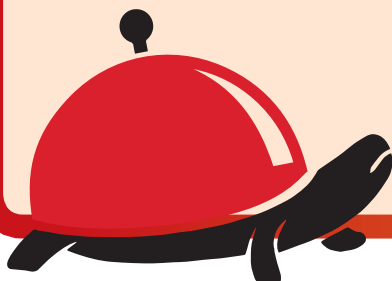
these players are to start making money, grocery will be the reason, not anything else.”

“In food delivery, micro-markets are maturing, but businesses are yet to reach break-even on a company-wide basis because every time a micro-market becomes sustainable, they would expand and focus on new micro-markets. This pattern would go on for some time because India is such a huge market,” says PwC’s Nawka. AOV in food delivery, which is around

MEANWHILE, THE pushback from disgruntled restaurateurs is getting stronger. Indian food delivery marketplaces bill restaurants 15-30 per cent depending on the size and scale of their business. Restaurants, led by the National Restaurant Association of India (NRAI), have long been opposing the commission structure, exclusivity clauses, deep discounting, and data masking of Swiggy and Zom-

DWINDLING FORTUNES

Zomato’s stock has been underperforming the Sensex



₹350-400, is likely to fall as more and more people get back to working from office. “Order values peaked during Covid lockdowns because people clubbed orders for other family members. People are going back to offices, so individual orders are rising. Food delivery firms are expanding to smaller towns where AOVs tend to be smaller. Owing to these factors, there will be some kind of correction in AOVs,” says Abhijit Routray, Engagement Manager at RedSeer.

Like every other e-commerce segment, grocery, too, is a long-term play, and sizeable investment over many years is needed to capture a meaningful market share. Zomato has \$1.7 billion cash on its balance sheet, but its ability to take risks is far lower today than a year ago when it was not listed, while Swiggy, also with a similar war chest, is likely to build as much as it can before it hits the bourses.

Zomato refused to participate in the story and did not respond to a questionnaire from BT. Swiggy sent some email responses but declined to address many of BT’s specific queries.

NRAI has partnered with several technology solution providers to help members build their own ordering channels. Swiggy itself has been piloting a direct order product with Mumbai restaurants.

On April 5, the Competition Commission of India (CCI) ordered a probe into the operations and business models of Swiggy and Zomato pertaining to alleged violations of competition norms, based on evidence provided by NRAI last year.

“In a typical restaurant bill, GST is about 5 per cent, digital aggregators take about 15-30 per cent, food cost typically will be in the region of 25-35 per cent, packaging costs are about 5-10 per cent, energy cost is 10 per cent, manpower 15 per cent for a full service restaurant, and rentals constitute about 5-20 per cent. Until the average order value goes up and a business achieves great scale, it doesn’t add up [for restaurants] to work with online [food delivery] providers,” says Narayanan.

Both the companies have scaled down their cloud kitchen businesses. Food works on skills, not